Union Asset Management Company Private Limited
(Union Mutual Fund)

October 22, 2026

Scheme Name	Scheme Type	Name of the Regulator[1]	Rating[2]	Rating Action
Union Corporate Bond Fund	Open-Ended Debt Scheme	SEBI	CARE AAA mfs	Reaffirmed
Union Money Market Fund	Open-Ended Debt Scheme	SEBI	CARE AAA mfs	Reaffirmed
Union Overnight Fund	Open-Ended Debt Scheme	SEBI	CARE AAA mfs	Reaffirmed
*Union Short Term Fund (formerly known as Union Short Duration Fund)	Open-Ended Short Term Debt Scheme	SEBI	CARE AAA mfs	Reaffirmed
*Union Ultra Short to Short Term Fund (formerly known as Union Low Duration Fund)	Open-Ended Low Duration Debt Scheme	SEBI	CARE AAA mfs	Reaffirmed

Details of instruments/facilities in Annexure-1.

*Pursuant to the SEBI Circular on 'Categorization and Rationalization of Mutual Fund Schemes' dated February 26, 2026, read with the SEBI Master Circular for Mutual Funds dated March 20, 2026, the Union Mutual Fund, vide Notice-cm-Addendum dated August 25, 2026, approved the change in nomenclature of the following schemes of the Fund, effective August 26, 2026:
1)Union Low Duration Fund has been renamed as Union Ultra Short to Short Term Fund.
2)Union Short Duration Fund has been renamed as Union Short Term Fund.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed credit quality rating (CQR) assigned to Union Corporate Bond Fund, Union Ultra Short Term to Short Term Fund (formerly known as Union Low Duration Fund), Union Money Market Fund, Union Overnight Fund and Union Short Term Fund (formerly known as Union Short Duration Fund). These funds are managed by Union Asset Management Company Private Limited.

Schemes rated 'CARE AAA mfs' are considered to have highest degree of safety regarding timely receipt of payments from investments that they have made.

CareEdge Ratings fund CQR is an opinion on overall credit quality of a debt mutual fund scheme or debt exchange traded funds (ETFs). CareEdge Ratings' Fund CQR is not a recommendation to purchase, sell, or hold a security/fund. They comment neither on the current market price, suitability for a particular investor, nor on the prospective performance of the fund with respect to appreciation, volatility of net asset value (NAV), or yield of the fund. Ratings do not address the fund's ability to meet payment obligations to investors.

Ratings are not an opinion on the fund management practices (including fund structure, expense ratios, and marketing activities), financial performance, and management quality of an asset management company (AMC), and hence do not comment on business practices. Ratings are also not indicative of compliance and reputation risks, liquidity, market, and sectoral risks.

The rating captures the fund's overall exposure to default risk based on credit quality of individual securities in the portfolio. CareEdge Ratings' Fund CQR is based on evaluation of the fund's stated investment strategy and portfolio credit risk. It involves evaluation of credit quality of individual securities and diversification of the portfolio. CareEdge Ratings uses the concept of credit scores assigned to individual securities, per credit scoring matrix developed by it.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority
[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Rating sensitivities: Factors that could individually or collectively lead to rating actions

Positive factors: Factors that could, individually or collectively lead to positive rating actions/upgrade:

- Not applicable

Negative factors: Factors that could, individually or collectively, lead to negative rating actions/downgrade:

- CareEdge Ratings could downgrade ratings of the scheme if credit quality of underlying securities deteriorates, resulting in a breach in the threshold limit set by CareEdge Ratings for a given rating level.

Analytical approach

Assessment of underlying credit quality of debt schemes.

Detailed description of key rating drivers

The credit score of the rated scheme has been calculated based on portfolio outstanding as on August 31, 2026, and is within the benchmark set by CareEdge Ratings. The portfolio is monitored on monthly, and a detailed annual review by CareEdge Ratings to support its published rating opinions. The fund must maintain fund credit score within the benchmark fund score associated with a given rating level. If in a particular month, the fund credit score breaches the benchmark, CareEdge Ratings generally provides a curing period of one month to the AMC to correct the situation and realign the score.

Applicable criteria

Fund Credit Quality

About the funds

Union Corporate Bond Fund

Union Corporate Bond Fund, launched by Union Asset Management Company Private Limited on May 25, 2018, is an open-ended debt scheme, with a relatively high interest rate risk and moderate credit risk. Investment objective of the scheme is to achieve long term capital appreciation by investing substantially in a portfolio of corporate debt securities. However, there is no assurance that the investment objective of the scheme will be achieved. The fund's assets under management (AUM) stood at ₹289 crore as on August 31, 2026. Despite single issuer breach in one of the securities, the score continues to remain within CareEdge Ratings' threshold for the assigned rating band.

Union Ultra Short to Short Term Fund (formerly known as Union Low Duration Fund)

Union Ultra Short to Short Term Fund (formerly known as Union Low Duration Fund), launched by Union Asset Management Company Private Limited on July 16, 2025, is an open-ended low duration debt scheme, with a relatively high-interest rate risk and moderate credit risk. Investment objective of the scheme is to provide reasonable returns and liquidity by investing in a range of debt and money market instruments while maintaining the balance of safety, liquidity and returns such that the Macaulay duration of the portfolio is between 6-12 months. There is no assurance that investment objective of the scheme will be achieved. The fund's AUM stood at ₹360.64 crore as on August 31, 2026.

Union Money Market Fund

Union Money Market Fund, launched by Union Asset Management Company Private Limited on August 26, 2021, is an open-ended debt scheme, with a relatively low interest rate risk and moderate credit risk. Investment objective of the scheme is to generate regular income through investment in a portfolio comprising of money market instruments. However, there is no assurance that investment objective of the scheme will be achieved. The fund's AUM stood at ₹1,481.72 crore as on August 31, 2026.

Union Overnight Fund

Union Overnight Fund, launched by Union Asset Management Company Private Limited on March 27, 2019, is an open-ended debt scheme, with a relatively low-interest rate risk and relatively low credit risk. Investment objective of the scheme is to generate returns by investing in Debt and Money Market Instruments with overnight maturity. However, there can be no assurance that investment objective of the scheme will be achieved. The fund's AUM stood at ₹411 crore as on August 31, 2026.

Union Short Term Fund (formerly known as Union Short Duration Fund)

Union Short Term Fund (formerly known as Union Short Duration Fund), launched by Union Asset Management Company Private Limited on January 31, 2025, is an open-ended short term debt scheme, with a high-interest rate risk and moderate credit risk. The scheme is an actively managed Scheme with an investment objective to provide reasonable returns and liquidity by investing in a range of debt and money market instruments while maintaining the balance of safety, liquidity and returns. There is no assurance that investment objective of the scheme will be achieved. The fund's AUM stood at ₹112 crore as on August 31, 2026

Liquidity: Not applicable

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Capital Markets	Asset Management Company

Union Mutual Fund is sponsored by Union Bank of India and Dai-ichi Life Holdings Inc. Union Bank of India is one of the leading public sector banks in India and is headquartered in Mumbai. Dai-ichi Life Holdings, Inc. is a stock company with limited liability, incorporated under the laws of Japan in 1902 and listed on the Tokyo Stock Exchange. Dai-ichi Life is a financial services holding company engaged in carrying out both insurance and non-insurance (including asset management) businesses through subsidiaries and associate companies. in the last 15 years, Dai-ichi Life has expanded its business globally and is currently engaged in life insurance sectors of nine jurisdictions other than Japan. Union Asset Management Company Private Limited is owned by Union Bank of India which holds 99.99% stake in equity share capital and other shareholders of the AMC are Dai-ichi Life Holdings Inc. which holds 100% stake in preference share capital.

The AMC has reported average AUM (AAUM) of ₹28,551.57 crore (excluding domestic fund of funds but including fund of funds-overseas) for the quarter ended September 30, 2026.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Covenants of rated instrument / facility: Not applicable

Complexity level of instruments rated: Annexure-1

Lender details: Not applicable

Disclosure on facilities/instruments and name of the regulators:
A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Credit Quality Rating-Union Corporate Bond Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs
Credit Quality Rating-Union Money Market Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Credit Quality Rating-Union Overnight Fund	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs
Credit Quality Rating-Union Short Term Fund (formerly known as Union Short Duration Fund)	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs
Credit Quality Rating-Union Ultra Short to Short Term Fund (formerly known as Union Low Duration Fund)	SEBI	Not Applicable	-	-	-	-	0.00	CARE AAA mfs

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Credit Quality Rating-Union Overnight Fund	Open-Ended Debt Scheme -LT	0.00	CARE AAA mfs	1)CARE AAA mfs (19-Jun-26)	1)CARE AAA mfs (14-Aug-25) 2)CARE AAA mfs (28-Jul-25) 3)CARE AAA mfs (27-Jun-25)	1)CARE AAA mfs (23-Jan-25) 2)CARE AAA mfs (22-Apr-24)	1)CARE AAA mfs (28-Apr-23)

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
2	Credit Quality Rating-Union Short Term Fund (formerly known as Union Short Duration Fund)	Open-Ended Short Term Debt Scheme -LT	0.00	CARE AAA mfs	1)CARE AAA mfs (19-Jun-26)	1)CARE AAA mfs (14-Aug-25) 2)CARE AAA mfs (28-Jul-25) 3)CARE AAA mfs (27-Jun-25)	1)CARE AAA mfs (23-Jan-25)	-
3	Credit Quality Rating- Union Ultra Short to Short Term Fund (formerly known as Union Low Duration Fund)	Open-Ended Low Duration Debt Scheme -LT	0.00	CARE AAA mfs	1)CARE AAA mfs (19-Jun-26)	1)CARE AAA mfs (14-Aug-25) 2)CARE AAA mfs (28-Jul-25) 3)CARE AAA mfs (27-Jun-25)	-	-
4	Credit Quality Rating-Union Money Market Fund	Open-Ended Debt Scheme -LT	0.00	CARE AAA mfs	1)CARE AAA mfs (19-Jun-26)	1)CARE AAA mfs (14-Aug-25) 2)CARE AAA mfs (28-Jul-25)	-	-
5	Credit Quality Rating-Union Corporate Bond Fund	Open-Ended Debt Scheme -LT	0.00	CARE AAA mfs	1)CARE AAA mfs (19-Jun-26)	1)CARE AAA mfs (14-Aug-25)	-	-

LT: Long term;

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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